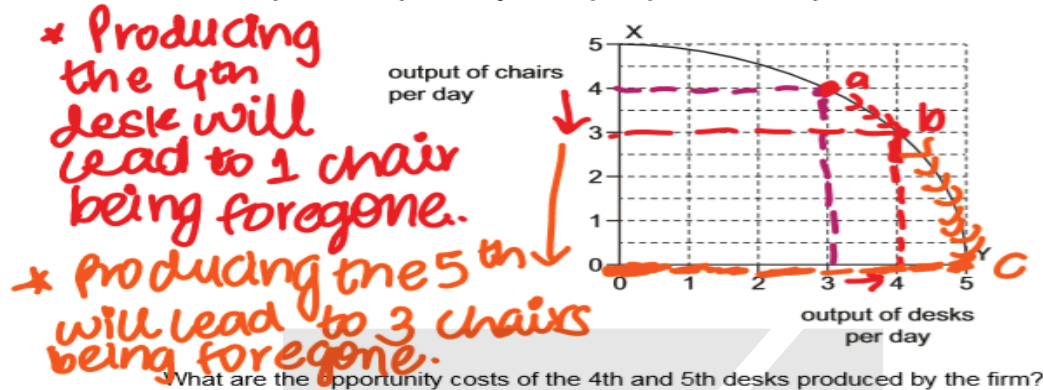


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(1-A)

1 XY is the production possibility curve (PPC) of a firm that produces desks and chairs.



	opportunity cost of 4th desk	opportunity cost of 5th desk
A	1 chair	3 chairs
B	2 chairs	5 chairs
C	3 chairs	0 chairs
D	4 chairs	5 chairs

The question asks about the opportunity cost of 4th desk.

This means that we were previously producing 3 desks. When we were producing 3 desks, we could produce 4 chairs. And now if we produce an additional desk that is the 4th desk, we can only produce 3 chairs. This shows that our opportunity cost is 1 chair as we'll have to forego one chair to produce the 4th desk.

Moreover, as we proceed to producing the 5th desk, we cannot produce any output of chairs i.e. we are making 0 chairs. Previously when we were producing 4 desks, we could produce 3 chairs. But now for the 5th unit of desk, I'll have to forego three chairs.

2-D:

A: Introduction of a road congestion charge when makes private transport more expensive, means that consumers are likely to find substitute, that is public transport, including buses relatively cheaper. This means that **bus passengers will benefit at the expense of motorists.**

This is a factual statement which can be **objectively analyzed**, making it a "positive statement"

B: Again, this is an objective statement that higher income groups will be prepared to pay a higher charge in return for convenience, in form of reduced journey times, making it a "positive statement"

C: Again, this is an objective statement that lower income groups will not be able to afford it, making it a "positive statement"

D: The usage of an **unquantifiable adjective “unfair”** makes it evident that it is a subjective statement or a value judgement , or in other words, a “normative statement”

3-C:

A) The new production method is more capital intensive: If the new production method is more capital intensive, it means that it requires a significant investment in machinery. **It will allow division of labor as each worker is specialized in using a particular type of machinery or handling a particular process in the production process on the flow line.**

B) The new production method is very expensive: While high costs may pose financial challenges for the firm, it doesn't necessarily prevent the firm from dividing tasks and utilizing specialized labor.

C) The new product is made to specific customer requirements: This option is correct because when a firm changes the type of product it produces and the new product is made to specific customer requirements, it can potentially limit the firm's ability to use division of labor. If each product requires customization based on customer requirements, it becomes challenging to assign **standardized and specialized tasks to different workers. In other words, division of labor supports “standardized tasks” rather than “customized ones”**

D) The new product requires specialized labor: This option is incorrect because the need for specialized labor actually supports the use of division of labor. When a new product requires specialized labor, it implies that specific skills, knowledge, or expertise are necessary to complete the production process effectively.

4-A:

Option A is correct because coins in their possession would be suitable as a form of money if there are enough of them. Coins are typically recognized as a medium of exchange and widely accepted in economies worldwide . **Due to their “acceptability” that is the most important characteristic of money, they will fulfill the most important function of money , that is, medium of exchange . And, in-order for anything to be called “money”, it must fulfill all functions of money. Coins also fulfill the other functions such as: standard of deferred payment, store of value and unit of account.**

The other options are incorrect for the following reasons:

Option B suggests that fallen fruit would be suitable as a form of money because it has intrinsic value as food. Food items, such as fallen fruit, are perishable and may not serve well as a durable and standardized medium of exchange. **Above all, their acceptability to serve as a legal tender and a medium of exchange is a question mark.**

Option C proposes pebbles from the seashore as suitable money due to their durability and abundance. While durability is an important characteristic for money, the abundance of pebbles does not necessarily make them a suitable medium of exchange. They lack the widespread recognition and acceptance required for money. **Above all, their acceptability to serve as a legal tender and a medium of exchange is a question mark.**

Option D suggests seaweed as suitable money due to its unlimited supply around the coast. However, like fallen fruit, seaweed is perishable and lacks the characteristics of durability and wide acceptance needed for an effective medium of exchange.

5-A:

We are interested in an option that brings 'a change in the position of the demand curve', **which means that it results in a shift in the demand curve**. And also, it should result in the position of supply curve to be unchanged, that is it does not bring a shift in the supply curve. This means that, **it should result in a movement along the supply curve**

A-A change in incomes of potential consumers brings a shift in the demand curve, as a result of which, there is a change in price, and in turn a movement along the supply curve, which is why this option is correct.

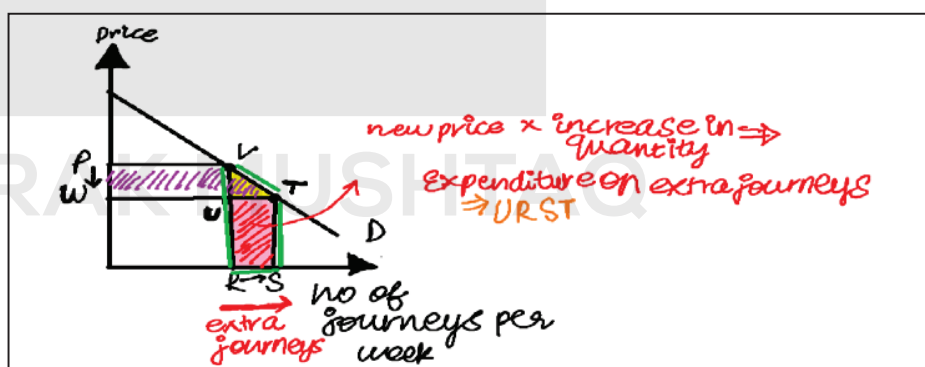
B-A change in price of ticket concerts does bring a movement along the supply curve according to the 'law of supply', but does not bring a shift in the demand curve, which makes this option incorrect.

C-A change in rents charged by venue owners directly affects the costs, in turn causing a shift in the supply curve, as a result of which the position of the supply curve changes, therefore this option is incorrect-

D-A change in seating capacity of concert venues leads to a rightward or a leftward shift in the perfectly inelastic supply curve. This option is wrong.

6-D: An increase in journeys or in other words, new journeys can be seen through the difference between new quantity and old qty and the total expenditure on new journeys can be calculated by multiplying the new price after the decrease, with an increase in qty,

representing new journeys, which will give the area 'URST', therefore option D is correct. All other options do not represent this area, and this can be seen above.



7-A:

A: Option A says that a rise in price from OR to ON results in the same proportionate fall in quantity demanded, which is correct because the rectangle **OLMN IS EQUAL TO RECTANGLE OPQR**. The graph is

not unitary elastic at all changes in price, it is only unitary elastic when the price rises from OR to ON, therefore making this option correct.

B: Option B says that the consumer surplus falls by RSMN upon a rise in price from OR to RN, which is wrong since the loss in consumer surplus is represented through the trapezium 'RNMQ'.

C: This curve is not a rectangular hyperbola, therefore it does not represent unitary elastic demand

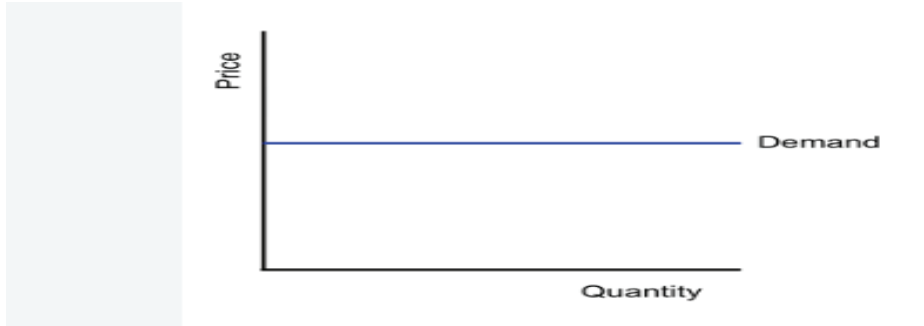
D: Option D says that the total revenue falls by MSQ which is wrong, as initially the total revenue was ORQP and then after a rise in price it becomes ONML, the area of loss in revenue is represented through SLPQ

8-D:

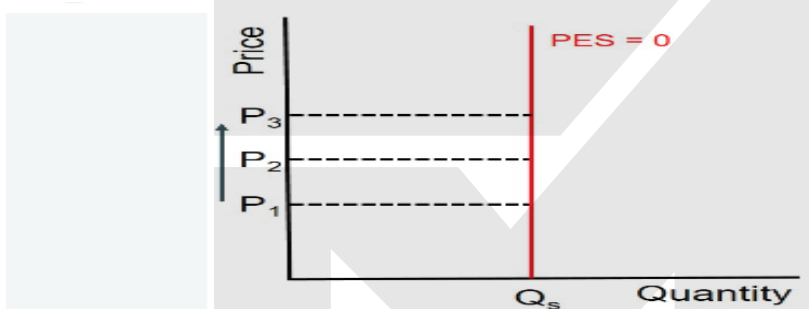
- A- When the demand is unitary elastic that is PED is equal to -1, there will be a change in price. No matter a percentage change in price brings an equal percentage change in qty demanded, **there will still be a change in price.**
- B- When the PED is zero, or in other words, the demand is perfectly inelastic, a producer will pass the entire burden of a rise in costs, that may be a reason of a decrease in supply to consumers, in form of higher prices. **The price will rise in this case, and even there will be no contraction in qty demanded, that is, quantity demanded remains unchanged.**
- C- This is absolutely incorrect as PED never gives positive values. It always gives answers with a negative sign, representing a negative relationship between price and qty demanded.
- D- (PED = infinite represents "perfectly elastic demand")- Perfectly elastic demand represents a "perfectly competitive market structure" where 1000's of producers are involved in making homogenous products, giving existence to perfect substitutes and since consumers have perfect knowledge about perfect competition, advertising cannot be used to influence them, and therefore **producers are "price takers", as because the market share of these firms is so small to influence the price level. Therefore, the price level stays the same, as by definition, any minute or fractional changes in prices brings infinite changes in qty demanded.**
"Such a producer can not raise prices, because if he does, none will follow, qty demanded and in turn total revenue will fall to zero"

9-B:

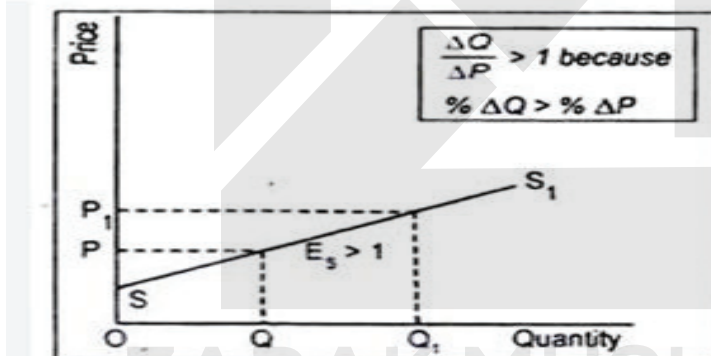
A: This is incorrect because the graph of perfectly elastic demand looks like this.



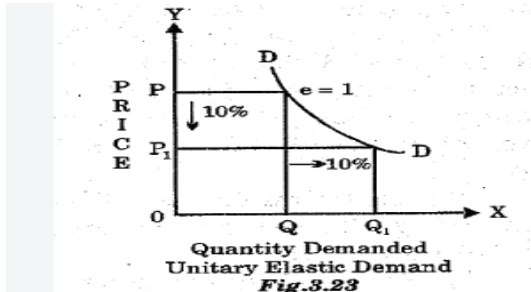
B: This is correct because the graph of perfectly inelastic supply represents supply being fixed, shown through a “vertical straight line” intersecting the horizontal axis.



C: The graph of “elastic supply” looks like this , which is why, this becomes incorrect



D: The graph of unitary elastic demand looks like this:



10-B: The diagram shows a rise in 'world oil production' that denotes a rise in supply of oil, whereas, the other graph denotes a fall in the price of crude oil. This is because of a rise in supply of oil from 2013 to 2015. This means we are interested in an option that causes a rise in supply of oil.

A-This shows a decrease in supply, or a leftward shift in the supply curve, which we are not interested in.

B-This shows a rise in supply or a rightward shift in the supply curve, which is why this option is correct.

C-This shows a leftward shift in the demand curve, thereby making this incorrect.

D-This shows a leftward shift in the supply curve and a rightward shift in the demand curve, thereby making this incorrect.

11-C:

A -In case of imposing maximum price above the market clearing price (equilibrium), the maximum price will be ineffective, and this way it won't rise, but fall back to the equilibrium, therefore price mechanism will be functional, this shows that prices will play a part in determining resources, therefore making this option wrong.

B-If the level of minimum wage is set below the market rate of pay, this is suggestive of ineffective minimum price, which will not fall, but rise back to the equilibrium, making price mechanism operational, this is why this cannot be the option either.

C- If quantities of consumer goods produced are determined by the government, this means that there is no involvement of prices in determining resource allocation. Although the government is providing the good or service, whatever the price is, the consumer will pay it, to consume the good, representing that the "rationing function" of the price mechanism will be performed.

D-If the government chooses to fix incomes of consumers that they can spend, this may not reduce the ability of prices to allocate resources. Resource allocation may still be done through price mechanism. And, also this would not lead to the function of rationing being performed as now due to incomes being fixed, **consumers will be restricted to pay higher prices, as according to rationing, the one who can pay the higher prices will only deserve the good.** This is why, this option is incorrect.

12-A:

A: Perfectly elastic demand represents a "perfectly competitive market structure where 1000's of producers are involved in making homogenous products, giving existence to perfect substitutes and since consumers have perfect knowledge about perfect competition, advertising cannot be used to influence them, therefore consumers would not be willing to pay a price more than the market price, and since willingness is equal to market price, the consumer surplus will be zero.

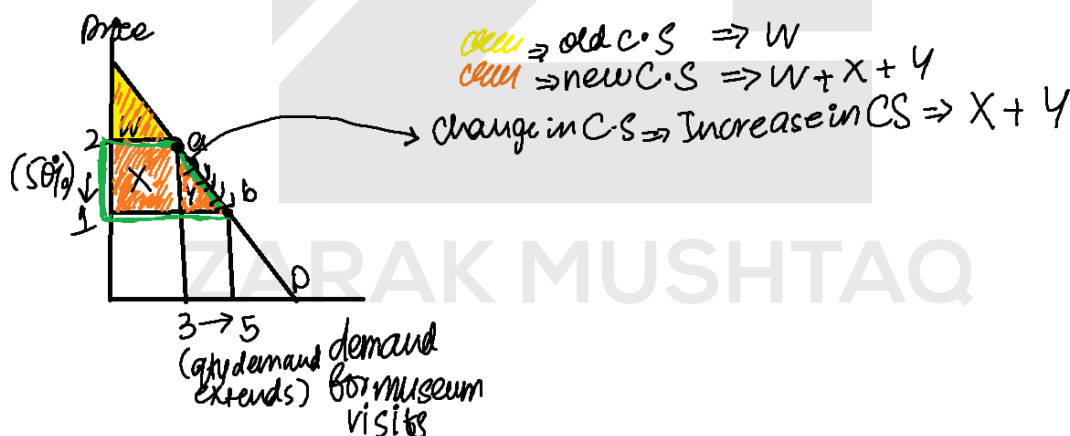
B: Perfectly inelastic demand represents a situation whereby there are no close substitutes as with commodities such as blood, in the case of which willingness to pay cannot be determined and therefore the consumer surplus is infinite.

C: When supply is perfectly elastic, this represents that the producer will be willing to supply any quantity at any prevailing price and would not be willing to supply any quantity below this price since their cost of production would not be covered, therefore all the cost burden will be passed to consumers in form of higher prices. This will decrease the consumer surplus but it will still exist assuming that the demand curve is normal.

“Willingness to pay of consumers will depend upon price elasticity of demand, which will in turn determine if consumer surplus is zero, as with perfectly elastic demand”, therefore making this incorrect

D: When supply is perfectly inelastic, this represents that upon a rise in demand, there will be a sharp increase in prices because the producer would be unable to respond by increasing supply in the momentary run, for example, in case of cinema when the seating capacity is fixed. This will decrease the consumer surplus but it will still exist assuming that the demand curve is normal.

13-B:



The diagram above explains why option B will be the answer.

14-D:

Quantity demanded = Quantity supplied

$$1500 + 50p = 3000 - 2000$$

$$1500 + 2000 = 3000 - 50p$$

$$3500 = 250p$$

$$p = 14 \rightarrow \text{equilibrium price}$$

As can be seen through the calculations on the right, the equilibrium price is 14. Since after government legislation, the market price has now become **15 dollars**, it is representative of minimum price legislation, because the price level is above the market equilibrium price. This will result in an extension in quantity supplied, and a simultaneous contraction in quantity demanded, thereby resulting in a surplus, which is also termed as 'excess supply', therefore option D and no other option can be correct.

15-B: Option B, specific taxes on beer and tobacco, is regressive, meaning it disproportionately affects lower-income individuals and households. This option is correct, and the others are incorrect.

Regressive taxes refer to taxes where the proportion of income paid in taxes decreases as income increases. In the case of specific taxes on beer and tobacco, they are often considered regressive because they tend to have a larger impact on individuals with lower incomes who may spend a larger portion of their income on these products.

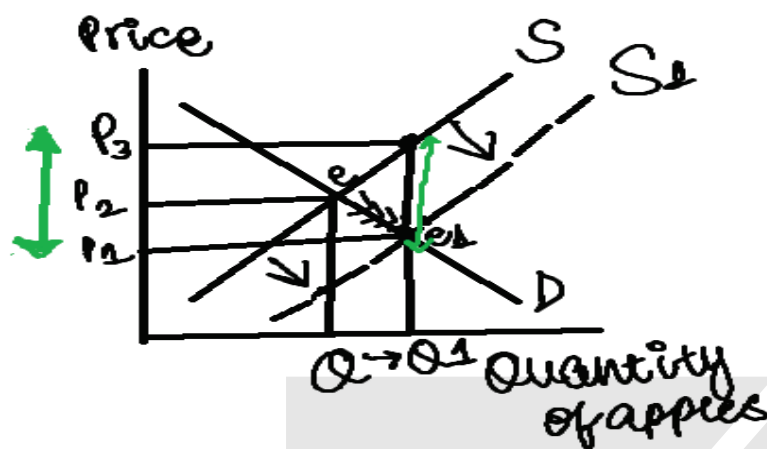
Now, let's examine why the other options are incorrect:

Option A: Rent subsidies to tenants of publicly owned housing are typically targeted to provide assistance to lower-income individuals or households. These subsidies aim to reduce the housing cost burden for those who have limited means, making it a progressive element rather than regressive.

Option C: The payment of child benefits to families is designed to provide financial support for families with children. These benefits are often structured to provide more significant assistance to lower-income families, which aligns with a progressive approach.

Option D: The taxation of capital gains refers to taxing the profits earned from the sale of assets such as stocks, real estate, or other investments. Generally, capital gains taxes are progressive, meaning they have a higher tax rate for individuals with higher incomes.

16-C:



As can be seen on the right, the per unit subsidy of 'P1 P3' will be required (note: the per-unit subsidy is the vertical distance between the two supply curves, and is obtained on the new qty traded of Q1 in this case), to cause the supply curve to shift from S to S1, and change the market equilibrium quantity from Q to Q1. Therefore, option C is correct, and no other option can be correct, because the other options do not represent the per-unit subsidy.

17-D:

Transfer payments are typically payments made by governments or public entities to individuals, households, or other entities without the expectation of receiving goods or services directly in return. They are meant to redistribute income, provide assistance, or support specific groups or individuals.

Option D, payments by a firm to compensate employees for undertaking dangerous work, is not a transfer payment. This option is correct, and the others are incorrect. **This is not a transfer payment, because they are provided in return of a service.**

Option A: Benefit payments by governments to families who have children are indeed transfer payments. These payments, often referred to as child benefits or family allowances, are intended to provide financial support to families with children.

Option B: Disability benefits paid to soldiers who were injured while on military service are also transfer payments. These benefits are a form of social protection provided by the government to compensate for the disabilities or injuries incurred during military service.

Option C: Loans made by a government to students who are studying at university are considered transfer payments. This is because, no contribution to output is expected while the students are studying at university.

18-B:

Government's action of allowing one firm to go out of a business neither represents privatization, nor does it represent nationalization.

Whereas, the government taking over a second firm represents the action of "nationalization"

The government encouraging a foreign government to invest heavily in a third firm, is not privatization, as if it had been privatization, the government would have encouraged individuals from the foreign country to invest in here, thus making key B, correct.

19-A:

A-The Aggregate supply curve is not only upward sloping representing short run Aggregate supply, but as it becomes perfectly inelastic in the long run, that is, it is shown to be fixed, it can be seen that Aggregate supply cannot be increased beyond some level of real output, until and unless the productive potential increases. This is shown in the graph, thus making option A correct.

B- There is a negative relationship between price level and Aggregate demand. A decrease in price level leads to an increase in real income, and thus results in an increase in consumption, which increases Aggregate demand at a lower price level. At a lower price level, consumption will be higher, thus making this incorrect.

C: Investment is not a component of Aggregate supply; therefore, this is incorrect.

D: this is incorrect as the greater the demand for a country's exports, the higher will be the Aggregate demand.

20-B:

proportion of income spent on a product				
weight		new yr's index (initial index i.e. 100 adjusted for price changes)	weighted price index (weight x current year's index)	
food $\rightarrow \frac{2}{10} \rightarrow 0.2$		$100 - 2 \rightarrow 98$	$98 \times 0.2 = 19.6$	Initial yrs index = 100
clothing $\rightarrow \frac{1}{10} \rightarrow 0.1$		$100 + 4 = 104$	$104 \times 0.1 = 10.4$	New yrs index = 104
Transport $\rightarrow \frac{4}{10} \rightarrow 0.4$		$100 + 10 = 110$	$110 \times 0.4 = 44$	Rate of inflation $\rightarrow \frac{104 - 100}{100} \times 100$
Accommodation $\rightarrow \frac{3}{10} \rightarrow 0.3$		$100 - 0 = 100$	$100 \times 0.3 = 30$	$\rightarrow 4\%$
			<u><u>104</u></u>	

21-A:

<i>Balance of trade in goods =</i> <i>Export of goods (TE) - Import of goods (TE)</i> $G - 417006 = -110196$ $G = 306810$	export of goods	G	$\rightarrow 306810$
	export of services	204465	
	total exports of goods and services	511275	
	debits	\$ million	
	import of goods	417006	
	import of services	126369	
	total imports of goods and services	543375	
	balance	\$ million	
	trade in goods	-110196	
	trade in services	H	
total trade in goods and services		-32100	
<i>Trade in services =</i> <i>Export of services - Import of services</i> $204465 - 126369 = 78096 \rightarrow H$			

What is the value of export of goods, G, and what is the value of the balance of trade in services, H?

	export of goods, G \$ million	trade in services, H \$ million
A	306810 ✓	78096 ✓
B	306810 ✓	142296 ✗
C	715740 ✗	78096 ✓
D	715740 ✗	142296 ✗

22-B:

Depreciation is occurring here as a pound sterling can buy less dollars, or in other words, it can be exchanged for "less dollars"

Because of depreciation in the long run when the Marshall Lerner condition is satisfied, that is the combined sum of price elasticities of demand of imports and exports is greater than 1, there will be a Balance of Trade surplus, and since this represents "net injections" into the circular flow, this will increase Aggregate demand, and when Aggregate demand outpaces Aggregate supply, this results in shortages, leading to a rise in general price level, representing "demand-pull inflation" (**thus making D incorrect**, as demand pull inflation would not reduce). Similarly, because of inflation, that is when prices increase at a rising rate, it can be said that "disinflation" that is when prices increase, but at a decreasing rate, is not occurring, (**thus making A incorrect**)

And due to inflation, the purchasing power of money will fall as \$1 will be able to purchase less and less than before , **(thus making C incorrect)**

Now, because of depreciation when imported goods become relatively expensive, and when the demand for them is price-inelastic, there will be a contraction in qty demanded of imported goods by a relatively smaller percentage, leading to a rise in import expenditures .And when this increases costs, there will be a reduction in Aggregate supply, giving rise to “cost push inflation”**(thus making B correct)**

23-A:



The j-curve only represents changes in Balance of payments due to changes in Balance of Trade, arising from changes in the exchange rate, specifically, in this case, depreciation .This is why, only option A will be correct

24-C:

We are interested in an option that causes a decrease in terms of trade

- A- A fall in the supply of exported goods will cause a shortage and an upward pressure on the price of “exported oil”, causing terms of trade to improve.
- B- A fall in the amount of oil produced, will cause an upward pressure on the price of oil and will subsequently increase the

price of “exported oil as well”, causing terms of trade to improve.

C- Terms of trade is the ratio of export prices to the ratio of import prices. A fall in the price of oil exports will cause a decline in the terms of trade, making this correct

D- Again, appreciation causes exported goods to become relatively expensive, and imported goods to become relatively cheaper, causing the terms of trade to improve.

25-C:

25 A particular good in the Barbados market could be supplied by domestic producers, or producers in Trinidad and Tobago, or producers in the United States (US), at the prices shown in US dollars.

after custom union	origin of production	price	After duty
-	Barbados	\$1.00	same
0.85 (no duty)	* member country Trinidad and Tobago	\$0.85	1.02 $\Rightarrow 120\% \times 0.85$
0.9 (20% duty)	non member US	\$0.75	0.9 $\Rightarrow 120\% \times 0.75$

Originally, Barbados had a 20% ad valorem duty on imports from Trinidad and Tobago and the US.

Barbados then formed a customs union with Trinidad and Tobago, with a common external tariff, also of 20%.

From which countries would Barbados import the good, before the formation of the customs union and after the formation of the customs union?

	before	after
A	neither	Trinidad and Tobago
B	neither	US
C	US	Trinidad and Tobago
D	US	US

After tariff, the cheapest will be importing from

US
After customs union being formed, it will be cheapest to import from Trinidad & Tobago

26-A:

A higher quota of imported cars would reduce an economy's protection against the import of cars.

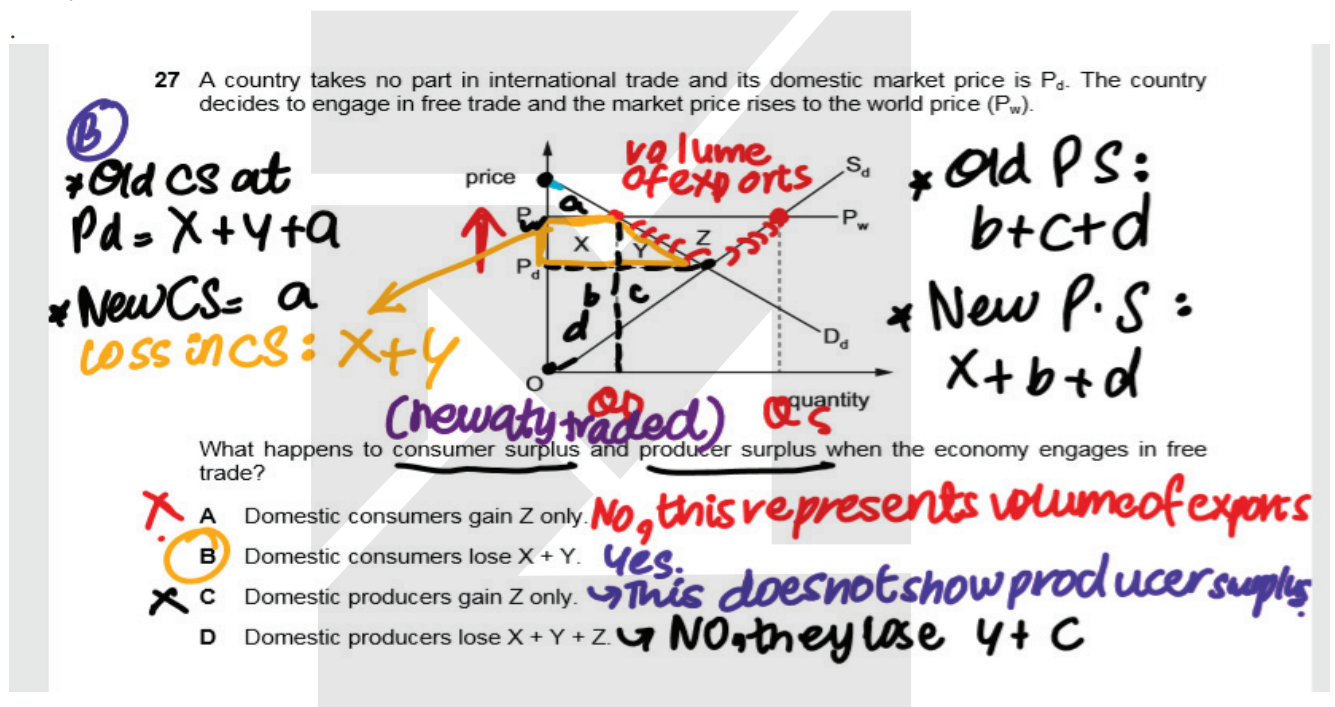
A) A higher quota of imported cars: A quota represents a limit on the quantity of imported cars that can enter the country. If the quota is increased, it allows for a higher number of imported cars to enter the market. This would result in reduced protection for domestic car producers since more foreign cars would be available to compete with them in the domestic market.

B) A higher subsidy for domestic car producers: A higher subsidy for domestic car producers would typically increase their competitiveness and provide support against imports, rather than reducing protection. This measure would actually enhance protection against imports by providing domestic producers with an advantage.

C) A higher tariff on imported cars: Increasing tariffs on imported cars would directly increase the cost of imported cars, making them less competitive compared to domestic cars. This would strengthen protection against imports, rather than reducing it.

D) A lower exchange rate: A lower exchange rate or, **in other words, devaluation** would make imported cars relatively more expensive, thereby making domestic cars more attractive and competitive. This would enhance protection against imports rather than reducing it.

27-B:



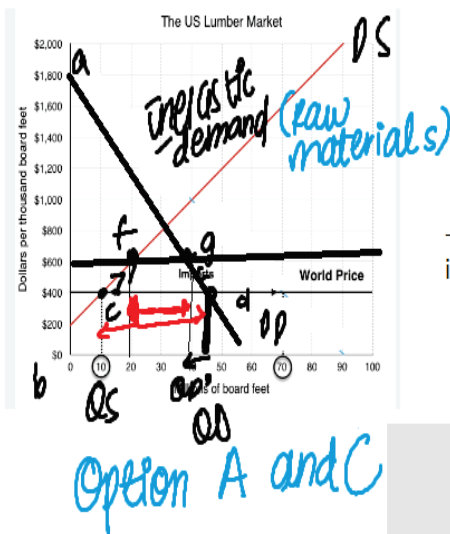
28-C:

Government is manipulating the rates of income taxes, which represents the usage of “fiscal policy”

Secondly, increased investment on training, will contribute to an increase in productivity, and in turn Aggregate supply, making it a “supply-side policy”

There is nothing happening with money supply, interest rate and exchange rate which means that “monetary policy” is not being used.

29-D:



□ If the country is importing "raw materials"(optionA) or in other words , the demand for a country's imports is inelastic(option C) , even after a rise in prices of imported goods after tariffs , there will be a contraction in qty demanded of imported goods by a relatively smaller percentage, which means that "it will be ineffective in solving a problem of Balance of Trade deficit", as the volume of imports will still be high.

- Similarly, option B, becomes incorrect as if the country is already experiencing a very high rate of inflation, it will still find imported goods relatively cheaper, even after tariffs, thus making this wrong.

-But if the supply of imported goods is relatively elastic, there will be an extension in domestic qty supplied by a relatively higher percentage, as after the domestic producers are signalled and incentivised after the world price is artificially inflated through tariffs, which results in a rise in producer surplus, they would increase the qty they supply in response to rising domestic demand, therefore leading to the volume of imports to contract, helping to solve the issue of Balance of Trade deficit. This is why, D becomes correct.

30-C: In-order to restore price stability or in other words recover from deflation, expansionary policies will be required

Relevant expansionary fiscal policy measure would be to increase government spending.

And, relevant expansionary monetary policy measure would be to decrease interest rates.

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